

BRCB pitch deck

File reads were denied, so I'll build the deck entirely from the court record pasted above — which is complete (evidence pack + both benches). Here is the full deck:

PITCH — BRCB — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION): FLAT into the Aug 11 earnings report — no position, no resting orders; re-open the question after the print with the reference bands below.

What we believe

Black Rock Coffee Bar's full-year revenue guide of \$255–257M requires the remaining three quarters to grow roughly 28.3–29.6% year-over-year, while the first quarter actually printed +23.7%. That is a ~5 percentage-point acceleration the store math does not obviously supply: the company is opening stores on pace (it just [opened its 200th location on Aug 7](#), tracking toward ~217 for the year), so if the guide is missed, the miss comes from same-store sales and per-store volumes, not from unit count. We therefore expect a guide trim at the Aug 11 report and see no reason to own the stock into it.

We also believe the weakness under the hood is partly localized rather than structural: management's own Q1 call stated same-store transactions declined 0.6%, with a 160 basis-point drag specifically from the Phoenix market and roughly 130 basis points of the transaction decline attributable to customers transferring between nearby stores. Pricing (+3%) and average check (+2.8%) were healthy. That's why this is a “wait for the reset, then look hard” name rather than a “never touch it” name.

Finally: the stock's recent low prints are contaminated by a forced seller. In mid-May, Cynosure Group bought a 52.6% control block (plus board rights and tax-receivable rights) in a three-day rescue of a distressed holder at \$5.35 per share. That is a distress-transaction price, not a fair-value estimate — it works as a hard floor reference, not as an anchor for what the business is worth.

What the market believes

The stock closed Aug 7 at \$7.35 — down 75.8% from its 52-week high of \$30.40, but up 20.3% from its low of \$6.11. The sell-side is still formally constructive: consensus rating is Buy with a \$15.43 average price target (last updated July 15, so stale). But the more telling number is that consensus full-year 2026 revenue sits at \$254.51M across 8 analysts — **already below the low end of the company's own \$255M guide**. In other words, analysts keep their Buy ratings while quietly modeling a small guide miss. The market is braced for a trim to roughly \$254M; the debate at the print is magnitude — a result or reset pointing meaningfully below ~\$254M opens an air pocket, while a modest trim is already in the numbers.

There is also a new controlling shareholder (Cynosure, since mid-May) whose first earnings report as controller is Aug 11, and a securities class action with a lead-plaintiff deadline of Aug 17.

Why we might have edge

- **We did the one-fetch work the street summary misses.** The Q1 call transcript confirms the transaction decline is decomposable: -0.6% total, 160bps Phoenix drag, ~ 130 bps transfer-related. If the problem is one market plus store-transfer cannibalization, the post-reset business may be healthier than the -76% drawdown implies.
- **We have the share count right and the aggregators don't.** The primary Q1 press release cover counts sum to 50,055,807 shares (Class A 18.02M + B 10.38M + C 21.66M) — about a \$368M market cap at \$7.35. The widely quoted 53.61M / \$394M figure is an aggregator artifact.
- **We understand what \$5.35 is and isn't.** Treating the control-block rescue price as a floor (not fair value) keeps us from both over-paying credence to the low and dismissing it.
- **Insider signal:** the COO and Chief Accounting Officer bought stock on the open market at \$6.51–6.98 *after* the control change — executives don't typically buy two months ahead of a planned kitchen-sink reset, which weakens the worst-case reset scenario.
- **Unit growth is verifiable in public sources** (200th store opened, on pace for ~ 217), narrowing what the print can actually reveal.

Why it might be priced in

- Consensus already sits below the guide's low end, so a small trim produces no surprise. Our central expectation — “guide gets cut” — is, at modest magnitude, the market's expectation too.
- The stock has already fallen 76% from its high; a great deal of disappointment is embedded at \$7.35.
- The “new controller resets expectations at their first print” argument is an inference about incentives, not an observed fact — and the insider buying leans against it.
- The unmodeled items cut the other way: a tax receivable agreement (TRA) liability exists (the [13D record](#) shows tax-receivable rights conveyed in the Cynosure purchase) but its size is unknown, so our enterprise-value math is incomplete — we can't yet claim the stock is cheap with precision.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Current price / tape	stockanalysis.com (IBKR was permission-denied this session — a process gap)	Close 8/7 = \$7.35, +20.3% off the \$6.11 low, -75.8% off \$30.40. Bench error (red): accused the evidence pack of a stale \$7.51 — the pack was correct at \$7.35; the stale number was in the original thesis.	YES (source misattribution corrected)
Guide requires $\sim 28.3\%$ – 29.6% growth vs $+23.7\%$	Re-derived from the Q1 2026 press release and	Arithmetic checks out; guide and “mid-single-digit SSS” assumption reaffirmed	YES

Claim	How checked	Found	Confirmed?
printed	FY25 release; verified twice (both benches)	verbatim on the call	
Transactions –0.6%, Phoenix 160bps, ex-issues healthy	Q1 earnings-call transcript	Verbatim confirmed, plus new detail: ~130bps of the decline is transfer-related. Bench error (red): attacked this as unsourced instead of fetching the transcript — a one-fetch fact.	YES
Share count / market cap	Primary PR cover counts vs aggregator	50,055,807 shares ≈ \$368M cap. Bench error (red): called the thesis “~5% light” using the aggregator’s 53.61M, which is the artifact.	YES
\$5.35 is a clean fair-value reference	13D / 8-K record of the Cynosure purchase	Original thesis error: it was a 52.6% control-block rescue of a forced seller in 3 days, with board and TRA rights attached — a distress price. Reclassified as a floor reference only.	YES (reclassified)
Seller unit-count discrepancy (11.6M vs 7.79M)	Form 4 rollup vs 13D detail	Resolves cleanly: Viking sold 7.8M units + TRA rights for \$41.7M; Cynosure’s total (12.04M Class B + 1.6M Class A, \$72.97M) came in two tranches. No contradiction.	YES
Enterprise value	13D record	Original thesis error: a TRA liability exists (rights explicitly conveyed in the deal) but was omitted from EV; balance unknown until the 10-Q equity note is read.	PARTIAL — existence yes, size no
“A cut is not in sell-side numbers”	stockanalysis forecast page	Bench error (red): consensus FY26 revenue is \$254.51M, already below the guide’s \$255M low end. A modest cut is modeled; only a large one surprises.	YES (red’s version refuted)
Aug 11 print date	Company’s 7/21 call announcement + stockanalysis	Confirmed (the pack itself had flagged it unconfirmed)	YES
New controller has kitchen-sink incentive	Filing dates (control change 5/15, board reshaped 6/1, first print 8/11, class-action deadline 8/17)	Dates confirmed; the incentive itself is inference, and insider open-market buys at \$6.51–6.98 post-control-change cut against it	PARTIAL — facts yes, motive unproven

PROPOSED ENTRY BANDS

The court’s verdict is **no entry before the Aug 11 print** (all three benches — original thesis, red, blue — converged on flat). The bands below are therefore **reopen bands**, from the benches’ own math:

- **No position and no resting orders into 2026-08-11 (report after the close, confirmed).** The asymmetry is unattractive: a modest trim is already in consensus (~\$254.5M), while a result implying a revenue path near \$247M or a hard guide reset opens downside below the current \$7.35 with no offsetting reason to be long first.

- **Reopen review zone: a post-print retest toward \$6.11** (the 52-week low). A decline into this zone on a *modest* trim — with the Phoenix/transfer decomposition intact — is the scenario where the bounded-weakness thesis gets interesting.
- **Hard floor reference: \$5.35** — the Cynosure control-block price. A print-driven break below what a control buyer with full diligence paid is a mandatory re-court, in either direction (it means either a genuine new fact or a capitulation).
- **Precondition to any staging, regardless of price:** read the Q2 10-Q equity note first — exact Class A/B/C counts, LLC units, and the TRA balance. Until the TRA is sized, the valuation frame (\$368M cap, ~\$375M EV ex-TRA) is incomplete and no size should be committed. No sizing number is proposed here because the court didn't produce one; post-print re-court (current court-worthiness 6/10) sets it.
- **Catalyst dates:** 2026-08-11 Q2 report (confirmed); 2026-08-17 class-action lead-plaintiff deadline (confirmed) — expect conservatively worded disclosure into it.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.35 (deck-provisional: Cynosure control-block rescue price = hard floor; a breach forces re-court)
- filing watch: 8-K until 2027-02-04 (deck-provisional: Q2 2026 earnings release ~2026-08-11 after close: guide trim magnitude vs the sub-guide \$254.5M consen)
- dated pack BRCB|2026-08-11: BRCB: Q2 2026 earnings report after close, first print under Cynosure control (date confirmed=True)
- dated pack BRCB|2026-08-17: BRCB: securities class action lead-plaintiff deadline (date confirmed=True)

What remains unverified

- **The Q2 10-Q equity note** — exact share classes, LLC units held by others, and above all the **TRA balance**. EDGAR returned 403s to both benches all session; this is the single most important unread document and it gates any future entry.
- **The kitchen-sink-reset motive** of the new controller — the dates are real, the incentive is inference; the insider buying argues against it, but neither side is proven.
- **Live executable tape** — IBKR was permission-denied in every seat this session; all prices came from stockanalysis.com's 8/7 close. Standing rule says pull live prices before acting on any band.
- **Whether the \$15.43 consensus target reflects any post-July-15 model updates** — it's stale, and the Morgan Stanley downgrade may not be fully rolled in.
- **Process debt:** the standing dashboard-closing step (ledger upsert + edge classification + entry plan + scanner re-run + API verify) was not executed by either bench (no shell access) and remains owed by the router before this deck is considered filed.

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Two notes outside the deck itself. First, I could not write this to `desk/reports/` or read the REAX deck for format precedent — both file permissions were denied this session, so the deck exists only in this message; if you want it filed as `BRCB_PITCH_DECK_20260808.md`, grant write access and I'll persist it. Second, the deck's own ARMED SENSORS section is honest: nothing is currently watching the \$6.11/\$5.35 gates or the 8/11 print, and the JSON fence above is built to auto-arm exactly those five sensors when the router ingests it.